GLOBAL INVESTMENT SOCIETY
Investment Research Division

lululemon athletica inc.

NASDAQ: LULU

Recommendation: OVERWEIGHT / LONG

Current price: $100.00 Price target: $140 (+40% upside)

A net-cash, high-margin brand priced for terminal decline — we see a cyclical trough, not a broken business

September 2026 Prepared for the GIS IR selection process

What this pitch will cover

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Source: company SEC filings (Form 10-K, CIK 0001397187)

Investment Thesis Summary

Overweight LULU with a $140 target on ~40% upside and an asymmetric payoff

PRICE TARGET

$140

+40% vs $100.00 today

RATING

OVERWEIGHT

12-month horizon

WHY NOW

Shares –55% off highs; ~18% single-day drop after Q2 FY2026 print (Sep 3, 2026) overshoots the fundamentals

Three reasons to be long

1. Priced for terminal decline — at ~3.5x EV/EBITDA and ~10x FY2026E EPS with a net-cash balance sheet, the stock embeds a permanent impairment that the business does not support
2. International is a multi-year growth engine — China Mainland and Rest-of-World more than offset a maturing Americas and can return total revenue to low-single-digit growth (~2.3% FY27–30 in our model)
3. Elite economics + accretive buybacks — FY2025 operating margin was 19.9% (last full year, not the trough); we model a 13.2% clean FY2026 run-rate (Q2 18.8% minus 560bps of tariff refunds), then add the $134.5M refund once (~15.2% reported in our IS). Diluted shares are down ~7% (128.0M → 119.1M)

Base-case DCF $134; bear $56 (–44%) vs bull $202 (+102%) — downside is protected by net cash and an ~8–9% FCF yield

Source: company SEC filings (Form 10-K, CIK 0001397187)

Situation Overview

A high-quality compounder has de-rated to value multiples after a guidance reset

What happened

- LULU shares fell from a 52-week high of ~$226 to ~$100, including an ~18% single-day decline following the Q2 FY2026 earnings release on September 3, 2026
- Management guided FY2026 to the first annual revenue decline in company history: net revenue of $10.35–$10.50B (−5% to −7%) and diluted EPS of $9.48–$9.73
- The Americas (the majority of sales) has decelerated to negative comparable sales, while tariffs and higher promotions pressure gross margin and SG&A deleverages on lower volume

Where the business stands (FY2025, ended Feb 1, 2026)

- Net revenue $11,102.6M (+4.9% y/y); gross profit $6,284.1M (56.6% margin); operating income $2,210.6M (19.9% margin)
- Net income $1,579.2M; diluted EPS $13.26; diluted shares 119.1M (down from 128.0M in FY2022)
- Balance sheet: $1,807.2M cash and no funded debt — a net-cash position that funds buybacks and international expansion
- Cash from operations $1,602.5M; capital expenditures $680.8M → ~$0.9B free cash flow even in a decelerating year

Source: company 10-K (FY2025, ended Feb 1, 2026) and Q2 FY2026 release (Sep 3, 2026)

A discretionary macro air pocket collided with an Americas-specific slowdown — the stock prices both at once

Macro (external)

- Real GDP still grows ~2.1% y/y (FRED GDPC1 Q2’26 vs Q2’25) — not recession, but selective spending away from premium discretionary
- Inflation and economic uncertainty weighed on Americas store traffic (10-K) — macro consumer caution shows up in micro footfall
- Tariff regime: Q2 recognized $134.5M IEEPA refunds (+560 bps GM) while new tariff layers remain an overhang on sourcing costs
- Athleisure competition intensifying at macro category level (Nike/adidas incumbents + Alo/Vuori/On challengers)

Micro (company-specific)

- Americas comps: −3% FY2025 → −12% in Q2 FY2026; China +20% FY2025 but −6% in Q2 as the base scales
- 811 stores (+44 net FY2025) at ~$1,426/sq ft — still opening doors while mature-region comps turn negative
- FY2026 guide: first annual revenue decline (−5% to −7%) and EPS $9.48–$9.73; Q3 guide −10% to −11%
- Clean run-rate EBIT margin ~13.2% (Q2 18.8% OM minus 560 bps tariff boost) — investors who miss this overstate sustainable margin

OVERLAP — WHY $100

- Macro weakness maps onto LULU’s largest profit pool: Americas ~71% of FY25 revenue (10-K: 70.7%)
- Tariff is simultaneously macro policy and micro P&L — Q2 optics mask run-rate margin
- The de-rating blends macro fear with a micro guide miss; both are largely in the price at ~10x FY26E EPS
- Our edge: underwrite trough economics (13.2% → 15.5% OM), not a return to 30x earnings
- International micro growth (China/RoW) is the bridge — but needs macro stability, not a free option

Source: FY2025 10-K (SEC EDGAR); Q2 FY2026 release (Sep 3, 2026); FRED GDPC1 (Aug 2026)

Market Narrative

Sentiment has capitulated — the sell-side is cutting targets into the print

What the street is saying

- Consensus rating has drifted to “Hold / Reduce” with a rapidly falling target; recent cuts include Goldman Sachs and JPMorgan to $95, Morgan Stanley $93 (Underweight), Wells Fargo $95, and Bank of America to $122
- Bear case: Americas saturation and negative comps, tariff-driven gross-margin pressure, SG&A deleverage, and share loss to emerging brands (Alo, Vuori, On)

Our differentiated view

- The tape has moved from euphoria (30–40x earnings in 2023–24) to capitulation (~10x today) — expectations are now low enough that even a conservative recovery re-rates the stock
- At ~3.5x EV/EBITDA the market implicitly assumes revenue and margins decline in perpetuity; our base case only needs stabilization, not a return to peak growth
- Consensus is extrapolating one weak fiscal year; we underwrite the international runway and structural margins the street is discounting to zero

Source: sell-side research notes (Sep 2026); company guidance

A vertically integrated, direct-to-consumer technical apparel brand

Business

- Founded 1998 in Vancouver; designs technical athletic apparel and accessories for yoga, training, running and everyday wear
- Sells through company-operated stores, a direct e-commerce channel, and select wholesale — a predominantly DTC model that captures full retail economics and first-party data
- Reports revenue by geography: Americas (majority of sales), China Mainland (fastest-growing), and Rest of World

Revenue trajectory (US$ M)

- FY2022: 8,110,518 → op. margin 16.4%
- FY2023: 9,619,278 → op. margin 22.2%
- FY2024: 10,588,126 → op. margin 23.7%
- FY2025: 11,102,600 → op. margin 19.9%

GROWTH ARCHITECTURE

Americas

Mature, high-productivity base; now negative comps — the source of the market's concern

China Mainland

Fastest-growing region (~20%+); large store and brand-awareness runway

Rest of World

Early-stage in Europe and APAC; men's and international whitespace underpenetrated

Business Model & Unit Economics

Premium pricing plus DTC scale drives sector-leading margins

Unit economics

- Gross margin ~57–59% — premium, full-price selling with historically limited promotion
- Operating margin ~20% (peaked ~24% in FY2024) — among the best in branded apparel
- Asset-efficient store fleet: leased footprint (right-of-use assets ~$1.6B) with high sales productivity per square foot
- Cash-generative: FY2025 CFO $1,602.5M on $680.8M capex → ~$0.9B free cash flow

Competitive moats

- Brand and community (ambassadors, in-store events) supporting pricing power
- Product innovation and proprietary fabrics driving repeat purchase
- First-party DTC data enabling assortment, pricing and inventory discipline
- Scale in sourcing and a growing men's and international opportunity

MARGIN PROFILE (FY2025)

Gross margin	56.6%
Operating margin	19.9%
Net margin	14.2%
FCF (approx.)	~$0.9B

Source: company SEC filings (Form 10-K, CIK 0001397187)

Industry Overview

Structural tailwinds favor scaled brands in a consolidating category

Category dynamics

- Global activewear / athleisure is a large (~$400B) market growing at a mid-single-digit rate, supported by health, wellness and the ongoing casualization of apparel
- The category is fragmented but consolidating toward brands with scale, technical product and omnichannel reach; Nike and adidas are incumbents, with Vuori, Alo and On emerging
- Barriers to entry are rising: brand equity, technical fabric development, supply-chain scale and a productive retail footprint are difficult to replicate quickly

Where LULU fits

- A premium, category-defining brand in technical apparel with structurally higher margins than most peers
- Under-indexed internationally versus Nike/adidas — the primary multi-year growth lever
- Competition is real but LULU's scale, innovation cadence and community remain differentiated

Source: company filings; industry estimates (analyst)

The valuation already discounts a permanently shrinking business

The market is paying trough multiples for a brand that still earned 19.9% operating margin in FY2025

- At ~$100 the stock trades at ~3.5x EV/EBITDA and ~10.4x FY2026E EPS — versus a 5-year history of ~20–30x earnings
- The balance sheet holds $1.8B of cash and no funded debt, so nearly the entire enterprise value is covered by the operating business at a very low multiple
- Our base-case DCF (WACC 9.0%, terminal growth 2.25%, terminal EBIT margin 15.5%) is in the model — bear is ~$56; downside is cushioned by net cash and FCF yield, not because bear brackets $100
- To justify $100 you must assume revenue and margins fall in perpetuity; that is inconsistent with international growth and the FY2026 tariff-refund tailwind

VALUATION SNAPSHOT

EV / EBITDA: 3.5x

FY2026E P/E: 10.4x

FCF yield: ~8–9%

Net cash: $1.8B

DCF base: $134

Investment Thesis II

China and Rest-of-World offset a maturing Americas and restore growth

Geographic mix shift is the bridge back to low-single-digit revenue growth (~2.3% FY27–30)

- China Mainland has been compounding at ~20%+ with a long runway in store count and brand awareness relative to the Americas base
- Rest of World (Europe, APAC) is early-stage and under-penetrated versus global peers — an incremental multi-year contributor
- As international scales, it dilutes the drag from negative Americas comps; our model returns total revenue to ~2.3% growth (Street 3Y forecast 2.26%) after the FY2026 reset
- Men's and the digital channel add further optionality that the market is not paying for today

REVENUE PATH (model)

FY2025A: $11,102.6M

FY2026E: $10,425M (−6.1%)

FY2028E: $10,910M

FY2030E: $11,418M

Source: company SEC filings (Form 10-K, CIK 0001397187)

Best-in-class margins and buybacks compound value through the trough

Even a down year throws off ~$1B of FCF that is being returned aggressively

- Operating margin remains ~20% in FY2025 — far above most branded-apparel peers — with room to recover as tariffs and promotions normalize
- FY2025 cash from operations was $1,602.5M; after ~$681M capex the business generated roughly $0.9B of free cash flow
- The company repurchased $1.6B (FY2024) and $1.2B (FY2025) of stock; share count has fallen from 128.0M (FY2022) to 119.1M (FY2025)
- At ~$100 per share, every dollar of buyback retires far more shares than at prior highs — highly accretive to per-share value

CAPITAL RETURN

FY2025 CFO: $1,602.5M

FY2025 capex: $680.8M

FY2025 buyback: $1,178.3M

Shares: 128.0M → 119.1M

Source: company SEC filings (Form 10-K, CIK 0001397187)

The bear points are real but largely discounted at today's multiple

Risks & Mitigants

Risk → Mitigant

Risk	Mitigant
Brand fatigue / fashion risk in a core-heavy assortment	Deep product pipeline, community engagement and international whitespace diversify demand
Americas comparable sales stay negative	Expectations are already low; ~10x earnings provides a valuation cushion if declines moderate
Tariffs compress gross margin	Pricing power, sourcing diversification, and $0.86/share of FY2026 tariff refunds offset part of the hit
Competition from Alo, Vuori, On and incumbents	Scale, fabric innovation, and under-penetrated men's / international segments defend share
FX translation on a growing international mix	Natural operational hedges and an active hedging program limit earnings volatility

Source: company SEC filings (Form 10-K, CIK 0001397187)

Catalyst Timeline

A sequence of events that closes the gap to intrinsic value

Q3 FY2026 (Dec 2026)	Company guided revenue −10% to −11%; watch for stabilization signals and holiday traffic / China 11.11 read-through
FY2026 year-end (early 2027)	First full year lapping the reset; tariff refunds and cost actions support EPS versus lowered expectations
FY2027	Margin inflection as promotions/tariffs anniversary; continued accretive buybacks compound per-share value
FY2027–FY2028	Total revenue returns to growth as international scales — the trigger for multiple re-rating toward peers

Source: company SEC filings (Form 10-K, CIK 0001397187)

Financials — Income Statement

Reported history (10-K) vs base-case operating forecast — FY26–30 (US$ M)

HISTORICALS (FY2022–FY2025) — SEC 10-K

- Net revenue: FY22 $8,111M → FY25 $11,103M
- Gross profit: FY22 4,492M → FY25 6,284M
- Operating income: FY22 1,328M → FY25 2,211M
- Operating margin %: FY22 16.4% → FY25 19.9% (peak 23.7% FY24)
- Net income: FY22 855M → FY25 1,579M
- Diluted EPS: FY22 $6.68 → FY25 $13.26

FORECAST (FY2026E–FY2030E) — base case (Scenarios col G)

- Net revenue: FY26 10,425M → FY30 11,418M
- Gross profit: FY26 5,901M → FY30 6,463M
- Operating income: FY26 1,511M → FY30 1,770M
- Operating margin %: FY26 14.5% → FY30 15.5%
- Net income: FY26 1,089M → FY30 1,256M
- Diluted EPS: FY26 $9776.90 → FY30 $11279.95

US$ M	22	23	24	25	26	27	28	29	30
Net revenue *Hist: 10-K IS — Net revenue · Fcst: Scenarios! G25:G29*	**8,111**	**9,619**	**10,588**	**11,103**	**10,425**	**10,665**	**10,910**	**11,161**	**11,418**
Gross profit *Hist: 10-K IS — Gross profit · Fcst: Scenarios! G25:G29 × Scenarios!G30:G34*	4,492	5,609	6,271	6,284	5,901	6,036	6,175	6,317	6,463
Operating income *Hist: 10-K IS — Operating income · Fcst: Scenarios! G45:G49*	**1,328**	**2,133**	**2,506**	**2,211**	**1,511**	**1,469**	**1,566**	**1,666**	**1,770**
Operating margin % *Hist: 10-K IS — OI ÷ revenue · Fcst: Scenarios! G45:G49 ÷ Scenarios!G25:G29*	16.4%	22.2%	23.7%	19.9%	14.5%	13.8%	14.4%	14.9%	15.5%
Net income *Hist: 10-K IS — Net income · Fcst: Scenarios! G143:G147*	855	1,550	1,815	1,579	1,089	1,056	1,120	1,187	1,256
Diluted EPS ($) *Hist: 10-K IS — Diluted EPS · Fcst: Scenarios!*	**6.68**	**12.20**	**14.64**	**13.26**	**9776.90**	**9484.51**	**10059.72**	**10657.96**	**11279.95**

Line item	Hist source (22–25)	Fcst source — Scenarios col G
Net revenue	10-K IS — Net revenue	Scenarios!G25:G29 (Revenue yr 1–5)
Gross profit	10-K IS — Gross profit	Scenarios!G25:G29 × Scenarios!G30:G34 (rev × GM%)
Operating income	10-K IS — Operating income	Scenarios!G45:G49 (EBIT yr 1–5)
Operating margin %	10-K IS — OI ÷ revenue	Scenarios!G45:G49 ÷ Scenarios!G25:G29
Net income	10-K IS — Net income	Scenarios!G143:G147 (pitch bridge NI)
Diluted EPS	10-K IS — Diluted EPS	Scenarios!G183:G187 (pitch bridge EPS)

All forecast lines: LULU_DCF_Valuation_Model.xlsx → Scenarios tab → pitch deck bridge block (col G).

Financials — Balance Sheet

Net-cash history vs base-case funded growth — FY26–30 (US$ M)

HISTORICALS (FY2022–FY2025) — SEC 10-K

- Cash & equivalents: FY22 1,155M → FY25 1,807M
- Inventories: FY22 1,447M → FY25 1,701M
- Total assets: FY22 5,607M → FY25 8,457M
- Total liabilities: FY22 2,458M → FY25 3,495M
- Total equity: FY22 3,149M → FY25 4,962M
- Funded debt: $0 across FY22–FY25 (net-cash)

FORECAST (FY2026E–FY2030E) — base case (Scenarios col G)

- Cash & equivalents: FY26 2,393M → FY30 4,497M
- Inventories: FY26 1,585M → FY30 1,681M
- Total assets: FY26 7,941M → FY30 8,697M
- Total liabilities: FY26 3,282M → FY30 3,594M
- Total equity: FY26 4,659M → FY30 5,103M
- Funded debt: $0 (no term debt in model)

US$ M	22	23	24	25	26	27	28	29	30
Cash & equivalents *Hist: 10-K BS — Cash · Fcst: Scenarios!G163:G167*	1,155	2,244	1,984	1,807	2,393	2,825	3,317	3,874	4,497
Inventories *Hist: 10-K BS — Inventories · Fcst: Scenarios! G80:G84*	1,447	1,324	1,442	1,701	1,585	1,608	1,632	1,657	1,681
Total assets *Hist: 10-K BS — Total assets · Fcst: Scenarios! G168:G172*	**5,607**	**7,092**	**7,603**	**8,457**	**7,941**	**8,124**	**8,310**	**8,502**	**8,697**
Total liabilities *Hist: 10-K BS — Total liabilities · Fcst: Scenarios! G173:G177*	2,458	2,860	3,279	3,495	3,282	3,357	3,434	3,513	3,594
Total equity *Hist: 10-K BS — Total equity · Fcst: Scenarios! G178:G182*	**3,149**	**4,232**	**4,324**	**4,962**	**4,659**	**4,766**	**4,876**	**4,988**	**5,103**
Funded debt *Hist: 10-K BS — Debt ($0) · Fcst: Model — $0*	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**

Line item	Hist source (22–25)	Fcst source — Scenarios col G
Cash & equivalents	10-K BS — Cash & equivalents	Scenarios!G163:G167 (pitch bridge cash roll-forward)
Inventories	10-K BS — Inventories	Scenarios!G80:G84 (NWC schedule)
Total assets	10-K BS — Total assets	Scenarios!G168:G172 (FY25 TA × rev growth)
Total liabilities	10-K BS — Total liabilities	Scenarios!G173:G177 (FY25 TL × rev growth)
Total equity	10-K BS — Total equity	Scenarios!G178:G182 (FY25 TE × rev growth)
Funded debt	10-K BS — Long-term debt ($0)	Model assumption — $0 (no term debt)

BS forecast: Scenarios pitch bridge (cash waterfall + FY25 BS × revenue growth), col G.

Financials — Cash Flow

Operating FCF (DCF input) vs financing — historical 10-K vs base case (US$ M)

HISTORICALS (FY2022–FY2025) — SEC 10-K

- Cash from operations: FY22 966M → FY25 1,602M
- D&A (add-back): FY22 292M → FY25 496M
- Capital expenditures: FY25 (681) outflow
- Free cash flow: FY25 922M (CFO − capex)
- Share repurchases (CFF): FY25 (1,178) outflow

FORECAST (FY2026E–FY2030E) — base case (Scenarios col G)

- Cash from operations: FY26 1,660M → FY30 1,751M
- D&A (add-back): FY26 469M → FY30 514M
- Capital expenditures: FY26 (573) → FY30 (628)
- Free cash flow: FY26 1,087M → FY30 1,123M
- Share repurchases (CFF): FY26 (500) → FY30 (500)

US$ M	22	23	24	25	26	27	28	29	30
Cash from operations *Hist: 10-K CF — CFO · Fcst: Scenarios!G148:G152*	966	2,296	2,273	1,602	1,660	1,518	1,593	1,670	1,751
D&A (add-back) *Hist: 10-K CF — D&A · Fcst: Scenarios!G55:G59*	292	379	447	496	469	480	491	502	514
Capital expenditures *Hist: 10-K CF — Capex · Fcst: Scenarios!G60:G64*	(639)	(652)	(689)	(681)	(573)	(587)	(600)	(614)	(628)
Free cash flow *Hist: 10-K CF — CFO − capex · Fcst: Scenarios!G153:G157*	**328**	**1,644**	**1,583**	**922**	**1,087**	**931**	**993**	**1,056**	**1,123**
Share repurchases (CFF) *Hist: 10-K CF — Buybacks · Fcst: Scenarios!G158:G162*	(444)	(559)	(1,637)	(1,178)	(500)	(500)	(500)	(500)	(500)

Line item	Hist source (22–25)	Fcst source — Scenarios col G
Cash from operations	10-K CF — Operating activities	Scenarios!G148:G152 (pitch bridge CFO)
D&A (add-back)	10-K CF — Depreciation & amortization	Scenarios!G55:G59 (D&A yr 1–5)
Capital expenditures	10-K CF — Capital expenditures	Scenarios!G60:G64 (Capex yr 1–5)
Free cash flow	10-K CF — CFO − capex	Scenarios!G153:G157 (pitch bridge FCF/CFS)
Share repurchases	10-K CF — Repurchases (financing)	Scenarios!G158:G162 (G21=$500M/yr fixed)

Buybacks: col G = $500M/yr fixed (Scenarios assumptions).

Financials — Capital Structure

Cap stack and WACC build — lease-adjusted; no funded term debt

CAPITAL STACK (US$ M)

Component	US$ M	WACC weight
Market equity (price × shares)	11,138	86.1%
ASC 842 operating lease liabilities	1,798	13.9%
Funded debt (term loans / bonds)	0	0.0%
Total capital (WACC basis)	**12,936**	**100.0%**

EV BRIDGE (NOT IN WACC WEIGHTS)

Component	US$ M	Note
Cash & equivalents	1,807	Added back in EV → equity bridge
Net debt (leases – cash)	-9	Near net-cash; leases in WACC above

No funded bank debt; ASC 842 store leases are the only debt equivalent (~14% WACC weight). Cash $1,807M exceeds lease debt → net-cash on a funded-debt basis.

WACC BUILD (CAPM)

Input	Value
Risk-free rate (10-yr UST)	4.80%
Equity risk premium	6.00%
Tax rate	30.00%
Beta (relevered; lease adj.)	0.84
Cost of equity (CAPM)	**9.86%**
Pre-tax Kd (lease-equivalent)	5.00%
After-tax Kd	3.50%
Equity / debt weight	86.1% / 13.9%

β: Yahoo βL 0.86 → unlevered 0.76 @ D/E 0.19 → relever 0.84 @ lease D/E 0.16

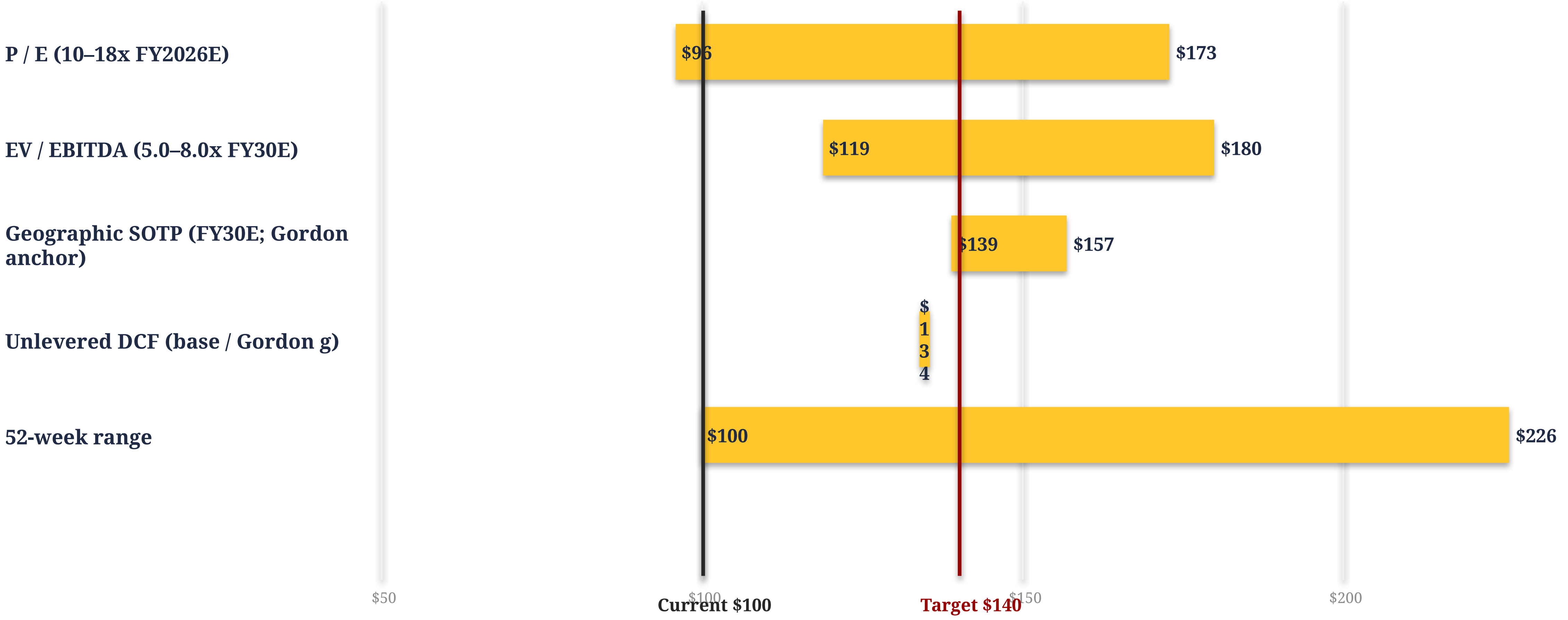
WACC = 8.98%

Base-case discount rate → Scenarios col G · implied price $134

MODEL SOURCE MAP

Line item	DCF model source (WACC tab, col E)
Market equity	WACC!E10
ASC 842 operating leases	WACC!E11 (FY25 10-K)
Funded debt	WACC!E13
Total capital	WACC!E14
Cash & equivalents	10-K BS — Cash
Net debt	DCF EV bridge
Risk-free rate	WACC!E3
Equity risk premium	WACC!E4
Tax rate	WACC!E5

Football field — implied share-price ranges by methodology (base case DCF; bear/bull in appendix)



12-month target $140 sits above base-case DCF $134 and inside the comps/SOTP ranges — a partial re-rating, not a return to peak multiples.

DCF row = Scenarios col G (Gordon growth). Bear ${_d(V['bear'])} / bull ${_d(V['bull'])} bracket scenarios are in the appendix.

Source: LULU_DCF_Valuation_Model.xlsx → Comps / football field tab; geographic SOTP on FY30E base revenue mix

Sum of the Parts

Geographic segments on FY30E base revenue — EV/EBITDA spreads vs Gordon-implied exit (7.4x)

Segment	FY30E rev	EBITDA %	FY30E EBITDA	EV/EBITDA	Segment EV ($M)
Americas	8,070	16.5%	1,551	6.4x–7.1x	9,924–11,010
China Mainland	1,805	19.5%	410	7.9x–9.4x	3,238–3,852
Rest of World	1,543	18.0%	324	7.1x–8.1x	2,297–2,621
Total segment EV	**11,418**		**2,284**	**6.8x–7.7x**	**15,459–17,483**
Corporate / HQ (no separate carve-out)				n/a	$0
+ Cash / − lease debt (EV bridge)				n/a	+1,807 / −1,798
Implied equity value / share				**n/a**	**$139–$157**

Methodology

- Single-brand retailer — geography is the cleanest SOTP cut (Americas / China / RoW per 10-K)
- FY30E segment revenue = FY25 geo mix × base-case consolidated FY30 revenue (Scenarios col G)
- Segment EV/EBITDA spreads anchor to Gordon-implied exit 7.4x (selected DCF TV identity — not the 5–8x comps football-field band)
- Americas: Gordon − 1.0x to − 0.25x (mature); China: +0.5x to +2.0x (growth); RoW: −0.25x to +0.75x
- Consolidated base-case DCF $134 uses Gordon growth (g=2.25%); SOTP is terminal-year EBITDA triangulation only

SOTP vs DCF

SOTP range: $139–$157

Base-case DCF: $134

Overlap is expected — SOTP applies FY30 EBITDA multiples; DCF discounts explicit FCF + Gordon growth TV.

Segment revenue: FY2025 10-K geography; FY30E scaled to base-case consolidated revenue (Scenarios col G)

DCF Valuation

Base-case unlevered DCF (Scenarios col G) — Gordon growth terminal value; 7.4x is implied exit identity

BASE-CASE ASSUMPTIONS (SCENARIOS COL G)

Assumption	Value
FY2026 revenue growth	-6.1%
FY2027–30 revenue growth (avg)	+2.3%
Clean EBIT margin (FY26 run-rate)	13.2%
Terminal EBIT margin (FY2030E)	15.5%
FY26 tariff refunds (one-time)	$134.5M
Cash tax rate	30%
Capex % of revenue	5.5%
WACC	9.0%
Terminal growth (g)	2.25%
Gordon-implied exit EV/EBITDA (identity)	7.4x

VALUATION OUTPUT (US$ M)

PV of explicit FCF (FY26–FY30) **3,944**
PV of terminal value **10,933**
Enterprise value 14,876
Plus: cash **1,807**
Less: lease debt (ASC 842) **(1,798)**
Equity value 14,885
÷ Diluted shares (M) **111.4**

Implied value: $134 / share

TERMINAL VALUE — GORDON GROWTH (SELECTED)

Method	Formula / input	FY30 TV ($M)
Gordon growth (selected)	FCF_5 × (1+g) / (WACC−g); g=2.25%	16,804
Exit multiple (identity check)	FY30 EBITDA × 7.4x = Gordon TV ÷ EBITDA (same number)	16,804

TV = 73% of EV · 7.4x = Gordon TV ÷ FY30 EBITDA $2,284M (not a peer pick)

Selected TV is Gordon growth (g). The 7.4x exit multiple is the identity check (TV ÷ FY30 EBITDA), not a peer average.

SENSITIVITY — IMPLIED SHARE PRICE (WACC vs TERMINAL g)

WACC \ g	1.5%	2.0%	2.25%	2.5%	3.0%
9.5%	$115	$121	$124	$127	$135
10.0%	$108	$113	$116	$119	$125
10.5%	$102	$106	$109	$111	$117
11.0%	$97	$100	$103	$105	$110
11.5%	$92	$95	$97	$99	$103

Base-case cell

WACC 9.0% × g 2.25% → $134. Grid brackets ±100bps WACC and 1.5–3.0% g.

Source: LULU_DCF_Valuation_Model.xlsx → Scenarios col G + DCF tab; bear/bull scenarios in appendix

Comps Analysis

Implied LULU valuation from PitchBook core athletic / apparel set (04-Sep-2026)

COMPARABLE COMPANIES — TRADING MULTIPLES

Company	EV/Rev	EV/EBITDA	EV/EBIT	P/E
adidas	1.51x	9.2x	18.6x	19.1x
Nike	1.27x	12.7x	15.9x	18.3x
Deckers	2.47x	7.9x	9.8x	12.1x
Crocs	1.74x	7.8x	7.8x	10.3x
Levi Strauss	1.52x	9.6x	18.1x	15.0x
Kontoor	2.01x	12.8x	15.4x	18.0x
Core median (ex-LULU)	1.63x	9.4x	15.7x	16.5x
LULU @ $100 (current)	**1.07x**	**4.7x**	**5.0x**	**10.4x**

IMPLIED LULU VALUATION (CORE PEER MEDIAN)

Metric	Peer med.	LULU base	Implied px
EV / Revenue	1.63x	$10,425M	$119–$231 (med $153)
EV / EBITDA	9.4x	$2,707M	$190–$311 (med $229)
EV / EBIT	15.7x	$2,211M	$155–$369 (med $311)
P / E	16.5x	$9.61	$99–$183 (med $158)

Implied EV = peer median × LULU base (cols 2–3); P/E = median × EPS (no EV). EV + cash − lease debt ÷ shares = equity/sh.

Peer benchmark methodology

Core peer set (NKE, ADS, DECK, CROX, LEVI, KTB) evaluates relative valuation using PitchBook data (04-Sep-2026). Implied equity = peer median × LULU base → EV, then + cash − ASC 842 lease debt ÷ shares.

Multiples confirm severe undervaluation

LULU trades at 1.07x EV/Revenue, 4.7x EV/EBITDA (PitchBook TTM), and 10.4x forward P/E vs core peer medians of 1.63x EV/Revenue, 9.4x EV/EBITDA, and 16.5x P/E.

DCF terminal valuation discount

Base-case DCF uses Gordon growth g = 2.25%, implying 7.4x FY30 EV/EBITDA exit multiple — well below the 9.4x peer median (right table uses TTM EBITDA).

Conservative target price re-rating

Our $134 base-case DCF and $140 12-month target (+6 vs DCF, ~4% above model fair value) reflect undervaluation with only a modest re-rating — not Nike-level multiples.

Precedent Transactions

Private-market context for athleisure M&A — not used to imply a control premium on LULU

Target	Year	Type	EV ($M)	EV/Rev	EV/EBITDA	Status
Sweaty Betty	2021	Closed acquisition	410	1.6x	16.0x	Closed Aug-2021 — ~16x FY21E EBITDA; women's premium activewear
Gymshark	2020	Minority growth round	1,300	5.0x	—	Closed Aug-2020 — $1.3bn implied EV; minority stake, not control
Vuori	2021	Growth investment	4,000	—	—	Closed Oct-2021 — $4bn post-money; revenue not disclosed (~140% YoY grow
Alo Yoga (Color Image)	2023	Unclosed sale process	10,000	5.0x	—	Unclosed — Reuters Jun-2026: no deal announced; IPO or sale still explor
LULU (public @ $100)	—	**Public equity**	**11,129**	**1.07x**	**4.7x**	**Trading comps only — not a premium benchmark**

How we use (and do not use) private precedents

- Private precedents inform what strategics/PE may pay for premium athleisure assets. We do not derive a control premium from an unclosed ask vs LULU's public trading multiple. Valuation anchors remain DCF and public comps (prior slide).
- Closed M&A: Sweaty Betty (2021) — Wolverine paid $410M (~16x FY21E EBITDA, ~1.6x sales) for premium women's DTC activewear; closest operating-company precedent
- Private growth rounds: Gymshark ($1.3bn implied EV, 2020 minority stake) and Vuori ($4bn post-money, 2021) show strategics/PE pay up for high-growth DTC athleisure — minority/valuation markers, not LULU control comps
- Unclosed process: Alo ~$10bn ask (~5.0x EV/Sales on Forbes ~$2bn sales) — illustrates private-brand heat; we do not apply as a control premium on LULU's public multiple
- Valuation anchors remain DCF + public comps (slide 20); precedents support the category-consolidation narrative only

Valuation stack

DCF base: $134 | Target: $140

Comps median EV/EBITDA 9.4x → ~$229/sh

Source: Wolverine IR/SEC (Sweaty Betty); Bloomberg (Gymshark); BusinessWire/Reuters (Vuori); Reuters/Forbes (Alo)

Asymmetric payoff: limited downside, substantial upside

Appendix — Bull / Bear Scenarios

BEAR $56
−44% vs $100

- FY2026 revenue −9%; growth stays negative (−1% avg FY28–30)
- Terminal EBIT margin 12.0%
- WACC 11.0%; terminal growth 1.5%
- Americas decline persists; share loss continues

BASE $134
+34% vs $100

- FY2026 revenue −6.1%; then +2.3% (Street 3Y forecast)
- Clean EBIT margin 13.2% → 15.5%; + $134.5M refund in FY26 only
- WACC 9.0%; terminal growth 2.25%
- International offsets a stabilizing Americas

BULL $202
+102% vs $100

- FY2026 revenue −4%; +6% avg FY27–30
- Terminal EBIT margin 19.0%
- WACC 9.5%; terminal growth 3.0%
- Margin recovery toward peak; brand re-accelerates

Probability-weighted value (25% / 50% / 25%) ≈ $131 — the risk/reward skews decisively to the upside

Source: GIS DCF model (scenario tab)

Sources & Disclaimer

Data provenance and standard research disclaimer

Sources

- Historical financials: lululemon athletica inc. Forms 10-K via SEC EDGAR (CIK 0001397187); FY2025 fiscal year ended February 1, 2026
- Q2 FY2026 results and FY2026 guidance: company earnings release dated September 3, 2026
- Market data (price, shares, beta): public market sources as of early September 2026
- Projections, DCF and comparable-company analysis: GIS Investment Research models, built from scratch for this assignment
- Alo Yoga: Reuters 2023 Moelis ask ~$10bn (no deal announced, Reuters 2026) and Forbes Color Image sales nearly $2bn. No page prints EV/EBITDA; implied 5.0x is EV/Sales, not the FY30 exit

Disclaimer

This presentation is prepared for educational purposes as part of the Global Investment Society selection process and does not constitute investment advice or a recommendation to buy or sell any security

Source: company SEC filings (Form 10-K, CIK 0001397187)